

SHOWING AND COMPENSATION AGREEMENT (PURCHASE)

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1. Date _____

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3. **DEFINITIONS:** This Agreement involves the property located at _____ ,

4. City of _____ ,

5. County of _____ , State of Minnesota, Zip Code _____ ,

6. legally described as _____ ("Property").

7. Seller is _____ ("Seller").
(e.g., individual(s), estate, trust, corporation, etc.)

8. Broker is _____ ("Broker").
(Real Estate Company Name)

9. This Agreement starts on _____ , and ends one year from this date.

10. **SHOWING AGREEMENT:** Seller gives Broker permission to show and sell the Property to the prospective buyer(s) whose
11. name(s) is/are:

12. _____

13. _____

14. _____ ("Buyer").

15. Seller understands that this Agreement is only a compensation agreement for selling Seller's Property to the above-
16. named prospective Buyer and Seller is not listing Seller's Property with Broker. Seller understands that Seller can
17. sell Seller's Property to other buyers even though this Agreement has not expired.

18. **Seller understands that Broker is not representing Seller as Seller's agent and that Broker is**
19. **representing or assisting Buyer.**

20. If Broker sells the Property, Broker may notify the Multiple Listing Service ("MLS") of the price and terms of the sale and
21. Property information. Seller understands this Agreement DOES NOT give Broker authority to rent or manage the
22. Property. Seller acknowledges that neither Broker, the MLS, the Minnesota Association of REALTORS®, nor any other
23. broker is insuring Seller or occupant against theft, loss, or vandalism.

24. **SELLER'S OBLIGATION:** Seller shall keep Broker notified of new information important to the sale of the Property.
25. Seller shall cooperate with Broker in selling the Property. Seller shall provide Buyer with a completed *Disclosure*
26. *Statement: Seller's Property Disclosure Statement* or a *Disclosure Statement: Seller's Disclosure Alternatives* form
27. and all pertinent information relative to the Property. Seller agrees to provide and pay for any inspections and reports
28. required by any governmental authority. Seller agrees to provide unit owners' association documents, if required.
29. Seller shall remain responsible for security, maintenance, utilities, and insurance while Seller owns the Property, and
30. for safekeeping, securing, and/or concealing any valuable personal property. Seller shall surrender any abstract of
31. title and a copy of any owner's title insurance policy for this Property, if in Seller's possession or control, to buyer or
32. buyer's designated title service provider. Any abstract of title or owner's title insurance policy provided shall be immediately
33. returned to Seller upon cancellation of a purchase agreement. Seller shall take all actions necessary to convey
34. marketable title by the date of closing as agreed to in a purchase agreement. Seller shall sign all documents necessary
35. to transfer to buyer marketable title to the Property. Seller has the full legal right to sell the Property.

36. **RECORDING ON THE PROPERTY:** Seller understands that MN Statute 626A.02 specifically prohibits the interception
37. of oral communications without the consent of at least one of the two parties to the communication. Seller should seek
38. appropriate legal advice regarding compliance with this statute if Seller intends to utilize technology that may intercept
39. oral communications between persons other than Seller.

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41. Property located at _____.
42. **NOTICE: THE COMPENSATION FOR THE SALE, LEASE, RENTAL, OR MANAGEMENT OF REAL PROPERTY**
43. **SHALL BE DETERMINED BETWEEN EACH INDIVIDUAL BROKER AND THE BROKER'S CLIENT.**
44. **BROKER'S COMPENSATION:** Seller shall pay Broker, as Broker's compensation, _____ percent (%) of the
45. selling price or \$ _____, whichever is greater, if Seller sells or agrees to sell the Property
46. to the above-named prospective Buyer during the term of this Agreement. Seller agrees to pay Broker's compensation
47. in full upon the happening of any of the following events:
48. 1. the closing of the sale; or
49. 2. Seller's refusal to close the sale.
50. SELLER UNDERSTANDS THAT IF SELLER ENTERS INTO A LISTING CONTRACT OR A FACILITATOR SERVICES
51. AGREEMENT WITH ANOTHER LICENSED REAL ESTATE BROKER DURING THE TERM OF THIS AGREEMENT
52. AND SELLS THE PROPERTY TO THE ABOVE-NAMED PROSPECTIVE BUYER, SELLER MAY BE OBLIGATED
53. TO PAY COMPENSATION TO BOTH BROKERS.
54. To secure payment of Broker's compensation, Seller hereby assigns to Broker the gross proceeds from the sale of
55. the Property in an amount equal to the compensation due to Broker under this Agreement.
56. **CLOSING SERVICES:**
57. **NOTICE:** THE REAL ESTATE BROKER, LICENSEE, OR REAL ESTATE CLOSING AGENT HAS NOT EXPRESSED
58. AND, UNDER APPLICABLE STATE LAW, MAY NOT EXPRESS OPINIONS REGARDING THE LEGAL
59. EFFECT OF THE CLOSING DOCUMENTS OR OF THE CLOSING ITSELF.
60. After a purchase agreement for the Property is signed, arrangements must be made to close the transaction. Seller
61. understands that no one can require Seller to use a particular person in connection with a real estate closing and that
62. Seller may arrange for a qualified closing agent or Seller's attorney to conduct the closing.
63. Seller's choice for closing services: *(Check one.)*
64. ☐ Seller directs Broker to arrange for a qualified closing agent to conduct the closing.
65. ☐ Seller shall arrange for a qualified closing agent or Seller's attorney to conduct the closing.
66. _____ (Seller's Initials) _____ (Seller's Initials)
67. **ADDITIONAL COSTS:** Seller acknowledges that Seller may be required to pay certain closing costs, which may
68. effectively reduce the proceeds from the sale.
69. Seller understands that mortgage financing services usually are paid for by the buyer; however, certain loans may
70. require Seller to pay a portion of the fees for the mortgage loan. Seller understands that Seller shall not be required
71. to pay the financing fees on any mortgage without giving Seller's written consent.
72. **FOREIGN INVESTMENT IN REAL PROPERTY TAX ACT ("FIRPTA"):** Section 1445 of the Internal Revenue Code
73. provides that a transferee ("Buyer") of a United States real property interest must be notified in writing and must
74. withhold tax from the transferor ("Seller") if the transferor ("Seller") is a foreign person, provided there are no applicable
75. exceptions from FIRPTA withholding.
76. Seller represents and warrants that Seller ☐ IS ☐ IS NOT a foreign person (i.e., a non-resident alien individual,
- (Check one.)*-----
77. foreign corporation, foreign partnership, foreign trust, or foreign estate) for purposes of income taxation.
78. Due to the complexity and potential risks of failing to comply with FIRPTA, Seller should **seek appropriate legal and**
79. **tax advice regarding FIRPTA compliance, as Broker will be unable to confirm whether Seller is a foreign person**
80. **or whether the withholding requirements of FIRPTA apply.**

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82. Property located at _____.
83. **OTHER POTENTIAL SELLERS:** Seller understands that Broker may list other properties during the term of this Agreement.
84. Seller consents to Broker representing such other potential sellers before, during, and after the expiration of this
85. Agreement.
86. **PREVIOUS AGENCY RELATIONSHIPS:** Broker or licensee may have had a previous agency relationship with a
87. potential buyer of Seller's Property. Seller acknowledges that Broker and licensee are legally required to keep information
88. regarding the ultimate price and terms the buyer would accept and the motivation for buying confidential, if known.
89. **INDEMNIFICATION:** Broker will rely on the accuracy of the information Seller provides to Broker. Seller agrees
90. to indemnify and hold harmless Broker from and against any and all claims, liability, damage, or loss arising from any
91. misrepresentation, misstatement, omission of fact, or breach of a promise by Seller. Seller agrees to indemnify and hold
92. harmless Broker from any and all claims or liability related to damage or loss to the Property or its contents, or any
93. injury to persons in connection with the showing of the Property. Indemnification by Seller shall not apply if the damage,
94. loss, or injury is the result of the gross negligence or willful misconduct of the Broker.
95. **LEAD-BASED PAINT:** If any structure on the Property was built before 1978, Seller shall provide to Broker and
96. prospective buyers a Disclosure of Lead-Based Paint and Lead-Based Paint Hazards as required by the U.S. Department
97. of Housing and Urban Development.
98. **FAIR HOUSING NOTICE:** Seller understands that Seller may not refuse to sell, or discriminate in the terms, conditions,
99. or privileges of sale, to any person due to his/her race, color, creed, religion, national origin, sex, marital status, status
100. with regard to public assistance, handicap (whether physical or mental), sexual orientation, or family status. Seller
101. understands further that local ordinances may include other protected classes.
102. **ADDITIONAL NOTICES AND TERMS:** As of this date Seller has not received notices from any municipality, government
103. agency, or unit owners' association about the Property that Seller has not informed Broker about in writing. Seller
104. agrees to promptly inform Broker, in writing, of any notices of that type that Seller receives during the term of this
105. Agreement.
106. This shall serve as Seller's written notice granting Broker permission to obtain mortgage information (e.g., mortgage
107. balance, interest rate, payoff, and/or assumption figures, etc.) regarding any existing financing on this Property. A
108. copy of this document shall be as valid as the original.
109. **ENTIRE AGREEMENT:** This Agreement and all addenda and amendments signed by the parties shall constitute the
110. entire agreement between Seller and Broker. Any other written or oral communication between Seller and Broker,
111. including, but not limited to, e-mails, text messages, or other electronic communications are not part of this Agreement.
112. This Agreement can be modified or canceled only in writing signed by Seller and Broker or by operation of law. All
113. monetary sums are deemed to be United States currency for purposes of this Agreement.
114. **ELECTRONIC SIGNATURES:** The parties agree the electronic signature of any party on any document related to
115. this transaction constitute valid, binding signatures.
116. **CONSENT FOR COMMUNICATION:** Seller authorizes Broker and its representatives to contact Seller by mail, phone,
117. fax, e-mail, text message or other means of communication during the term of this Agreement and anytime thereafter.

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119. Property located at _____.

120. **OTHER:** _____

121. _____

122. _____

123. BROKER

SELLER

124. **ACCEPTED BY:** _____
(Real Estate Company Name)

ACCEPTED BY: _____
(Seller's Signature)

125. **By:** _____
(Licensee's Signature)

(Seller's Printed Name)

126. _____
(Licensee's Printed Name)

(Date)

127. _____
(Date)

(Marital Status)

128. _____
(Address)

(Address)

129. _____
(City/State/Zip)

(City/State/Zip)

130. _____
(Phone)

(Phone)

131. _____
(E-Mail Address)

(E-Mail Address)

132. **SELLER**

133. **ACCEPTED BY:** _____
(Seller's Signature)

134. _____
(Seller's Printed Name)

135. _____
(Date)

136. _____
(Marital Status)

137. _____
(Address)

138. _____
(City/State/Zip)

139. _____
(Phone)

140. _____
(E-Mail Address)

141. **THIS IS A LEGALLY BINDING CONTRACT BETWEEN SELLER AND BROKER.**
142. **IF YOU DESIRE LEGAL OR TAX ADVICE, CONSULT AN APPROPRIATE PROFESSIONAL.**

WIRE FRAUD ALERT



Internet fraud — the use of Internet services or software with Internet access to defraud victims — is on the rise in real estate transactions.

THESE SOPHISTICATED CRIMINALS COULD:

- **HACK INTO YOUR E-MAIL ACCOUNT** or the e-mail of others involved in your real estate transaction and may direct you to wire money to the hacker's account.
- **SEND FRAUDULENT E-MAILS** that appear to be from your real estate licensee, lender, or closing agent.
- **CALL YOU** claiming they have revised wiring instructions.

Buyers/Tenants and Sellers/Owners are advised to:

- (1) Never wire funds without confirming the wiring instructions directly with the intended recipient.
- (2) Verify that the contact information for the wire transfer recipient is legitimate by calling a known phone number for the broker or closing agent. Do not rely on the information given to you in an e-mail communication.
- (3) Never send personal information through unsecured/unencrypted e-mail.

If you suspect wire fraud in your transaction:

- (1) Immediately notify your bank, closing agent, and real estate licensee.
- (2) File a complaint online at the Internet Crime Complaint Center (IC3) at <http://www.ic3.gov>.

The undersigned acknowledge receipt of this wire fraud alert and understand the importance of taking proactive measures to avoid being a victim of wire fraud in a real estate transaction.

(Signature)

(Date)

(Signature)

(Date)

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